

Pure Cycle PCYO

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by

[dadande929](#)

			2020	2021
Price:	10.26	EPS	0.28	0
Shares Out. (in M):	24M	P/E	36	0
Market Cap (in \$M):	245	P/FCF	0	0
Net Debt (in \$M):	7	EBIT	0	0
TEV (in \$M):	67	TEV/EBIT	0	0

Description

Investment Thesis

Pure Cycle - long term, major upside, modest downside. The business has two kinds of segments: water rights and land to be developed. Segments are independent of one another, yet the land will accelerate water income. Each segment alone justifies the current valuation.

Business Segments

Land - Sky Ranch

The business owns ~930 acres in the east Denver metropolitan area. They bought it after the financial crisis for \$7.5m. PCYO already had water rights in the area, which they wanted to begin selling. PCYO bought the land in 2010, which was bought earlier for about \$50m. The company is developing a community of 3,200 homes and 2m SQFT of commercial, retail, and light industrial development. The whole project will take about 10 years to develop.

Currently, there are more than 120 residents in the neighborhood, up from 70 in the 1st Q.

The first phase is running and will have 506 single-family residential homes with a low-entry price range (\$325k). PCYO has three agreements with different developers: Richmond American, Taylor Morrison, and KB Homes. By Nov 3rd 2020, PCYO completed and delivered all of the 506 lots to the homebuilders (up from 277 at the end of last year), as they expected last year that they will. The home builders already sold 365 homes (up from 100 12 months ago) - 2 years ahead of schedule. They believe that the 140 homes remaining will be sold in 2021.

The overall construction costs of the first phase were \$36m (/506=\$71K per lot). Lot sales were about the same (\$71K per lot, breaking even), but in addition, the company got \$13.7m in tap fees (which will be later discussed) and \$10.5m of reimbursable, that will grow to \$29m total (also - to be discussed).

In his last letter to shareholders (Dec 1st), Mark Harding, CEO and President, said that the company is on track to launch the development of the second phase of Sky Ranch this month (Dec 2020). It is 250 acres of residential development (1st phase is 150) and 160 acres of commercial, retail, and light-industrial development. The company "entered into contracts with four home builders to sell 789 finished lots, on which the home builders will construct both attached and detached single-family residential units". The company keeps 100 for itself for future purposes. The total sales for the 789 lots are \$63.4m (the other 100 worth around \$9-10m).

For this stage, the company is expected to spend \$66m on development, with lot sales of \$73m, reimbursements of \$48m and tap fees of \$21m - which leaves us with profits of ~\$75m.

The third phase will be 300 acres big and we heard less about it from the management, therefore I will leave it to further discussions.

Here I would like to mention that I like the development rate here. In some businesses, we would like to see rapid expansion. In others, we would like to see more moderate actions - that will

- Bare less debt, and
- Will not burn land inventories too quickly, and allow price changes to positively influence the business.

Following PCYO for the past 2-3 years, I can definitely say that they took the second approach. The debt burden is very low and they smartly divided the project into 3 phases for more than a decade of work.

Sky Ranch - Unit Economic. Two kinds of revenue streams: (1) sold lots (2) tap fees (measured by SFEs: single-family equivalent, 1 water tap per 1 customer).

Non-Recurring Revenues

1. Lot Sale - in the first phase, PCYO charged around \$70,000 from the developers for a developed lot, and currently, in the 2nd stage, they charge about \$80,000.

2. Public Improvements - PCYO is investing in public facilities and utilities in the neighbourhood. PCYO is expected to get reimbursement of \$29m for these expenses from the municipal district when it raises bonds in the future, for the first phase alone (and it already got 10.5).

A little bit of math. PCYO invested in the first phase \$36 (up 1m from expectations), including utility investments of \$29m improvements to be reimbursed. Lot sales provided a near amount. So that's breaking even. But the company also gets \$29m reimbursements ($\pm$ \$49k). I will consider it as \$50k from now on.

III Water & Sewer Taps - the company is also the provider of water and waste management serviced for the revenue. The company charges \$4,752 (up from \$4,600 last year) for a sewer tap and \$27,209 (up from \$26,500 last year) for a water tap, and they estimate they will have around taps (SFEs). In the Q2 2018 call the CEO said that those have a 50% margin, so that's $\sim$ \$16,000 per SFE (let's say \$15,000). [BTW - Margins are probably higher now, as they raised prices]

The company says it will sell 3,200 residential lots. 15k (taps) + 50k (lot) = $\pm$ \$65k per lot, which is $\pm$ \$208 in NOI for the total lot sales.

In addition, the company has 2m SQFT commercially zoned land. Unlike residential land that is sold per lot, I wasn't able to find the numbers for the 160 acres development costs nor potential revenue, so I will not consider that. Part of the commercial land will be developed in the 2nd stage and part of it in the third. The commercial area will also have about 1,600 SFEs, so that's another $\pm$ \$24m in NOI.

So the total NOI of Sky Ranch is about \$230m (rounding down with a few discounts, not including the sale of commercial land).

Recurring Revenue

The company will sell water and waste management for the Sky Ranch neighborhood in the future. PCYO says that they will get around \$1,500 a year from each of its 5,000 SFEs (Q4 2019 call). That's about \$7.5m a year of water biz - that should get a high multiple in the future.

Water and Wastewater (In addition to Sky Ranch)

In 1996 the company bought its water rights in the area of Lowry, Denver (Rangeview). The Lowry Range water rights are about 27,000 acres in size (the company also has 2,200 acres in different areas I will not focus on due to their small meaning to the business currently). Later, in 1997, they went into an agreement with the Rangeview district to provide wastewater service in the Lowry Range.

Pure cycle believes that in potential there will be around 60,000 SFEs (1 SFE = 1 customer), not including Sky Ranch. Besides Sky Ranch, PCYO already supplies water for 649 (up from 462) SFEs and 384 (up from 214) wastewater SFEs - it's not meaningful, but the trend is there (*Table 1*).

The unit economy here is the same as in Sky Ranch: initial \$4,752 for wastewater, \$27,209 for water, and \$1,500/customer/year.

THEORETICALLY, PCYO sits on a gold-mine-in-potential of \$1.8b in initial installment (\$0.9b gross) and another 90m in yearly revenues. We need to be cautious about it. This area is undeveloped and the growth of sales here is VERY low (although we saw a recent rise), as one can see in *Table 1*. So, again, that's only a potential.

Table 1

Year 2020 2019 2018 2017 2016

Water	649	462	391	391	258
Waste	384	214	157	157	157

Water / Oil Fracking

Near PCYO's water supply system, there are some fracking operations. Harding mentioned 16,000 wells used in a single time and that each well is worth around \$150k (potentially \$2.4b) for PCYO. Each well equals 200 homes in its water consumption per year. Currently there are about 100 wells (<1%). So, if oil prices rise, and fracking in the area are not forbidden, we could see a nice potential here as well. But - a reminder - that's not the end goal here. That's only a method to spend time & earn money while the city develops.

Other things to take in mind

1. Water Demand - Water demand will only go up while the supply will remain about the same.
2. Inflation - Therefore no need to discount inflation because they will also raise prices (as they did this year)
3. Other Businesses - The company has other businesses that could create some revenues in the future, like oil royalties (creates \$150k a year per well, currently only one well), some mineral rights that could one day be worth something.
4. Debt - 0.
5. The company also gets royalties from O&G explorations in it's properties (650K in 2020).

Valuation

PCYO doesn't need to get 60,000 customers or to frack 16,000 wells in order to be worth more than it is today.

The company trades for \$245m. The market evaluates it with a small premium to Sky Ranch. PCYO will probably have a net income of about \$150-200m from Sky ranch, and one should add a high multiple on the \$7.5m to the recurring water sales (peer comparison shows a min of x5 EV/revenue of sales, an average of x8).

So for a few tens of millions of dollars, you get this great water system, ready to deliver water to newly developed neighborhoods in east Denver. And until that happens, as long as oil is around \$40-50, it can sell its water for fracking. And it has zero debt and many catalysts. So, I guess that we are OK where we're at.

Risks

1. Management can't return value to shareholders - Since we have no experience with the return of value, we can't be sure how done it will be made.
2. Sky Ranch's next phases might take some time to take off if any crisis hits. The company has no debt so it's not a major problem, rather a delay. It will have great influence in the short term, but long term inherent value will remain the same.
3. Management raises debt for projects it will find it hard to monetize down the road.
4. Red Flag - Harding (CEO and President) only owns ~2% of the company and sold some stock earlier in the year.

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CatalystCatalysts

1. Denver keeps on developing east, outside of municipal areas
2. Sky Ranch starts to deliver solid income from water
3. As that happens, PCYO will get into more water ETFs
4. Sky Ranch phase two & three

Messages

Subject	Competing Properties
Entry	12/05/2020 05:20 PM
Member	moneytr33

Dada,

Thanks for the write-up. A quick google maps and zillow search indicated that there was alot of open land around this location as well as a nearby development also selling homes.

You talked about this a bit but how quickly to you expect this sell-through to occur? Why isnt the nearby empty property being built-out right now? how fast does it need to happen for us to do well investing in this?

TL;DR what is the bull scenario: how much money do we make and how long does it take?

Subject	Re: Competing Properties
Entry	12/06/2020 05:48 PM
Member	dadande929

Thanks for the reply.

TL;DR - It is hard to give a bottom line here.

a. Yes - there is competition, as you mentioned. BUT the company is years ahead of schedule on SELLING lots, and the homebuilders are ahead of schedule in selling homes. So for now, this is working.

b. You got a property business that is worth (gross) at least as much as the mkt cap of the company (probably a bit more). They say that the construction will take 10 years. So that's about 8 years to extract this value (they get paid before the houses are built).

c. After the 10 years, they will have a water business that's worth more than ~75 - for the developed neighborhood alone

d. add to that other places that will meanwhile buy water from the company

So I'm thinking about 5-10 years investment. I can say that it won't be a 10-bagger during that time given what we currently know. But I can also say that the risk for this logic to work is pretty low - it's land and water. And - that they also have some side-methods to extract value that could surprise us.

Hope that it answered your Q.

Subject	Question
Entry	01/08/2021 12:53 PM
Member	tvcdv

Hi dadande929, this is a compelling thesis. In their latest proxy statement the CEO describes why the share price is undervalued, he says that its because their historical cost basis in the properties is significantly less than their fair values today. By his back of the envelope calculation he states that their entire portfolio of land and water resources is worth approximately \$2B, if true then the stock is a serious bargain. I'm wondering if you have any insights into why management isn't focused on unlocking value via share repurchases or asset sales, given this share price disconnect? Much appreciated.

Subject	Re: Question
Entry	04/09/2021 04:45 PM
Member	dadande929

Sorry for the delay. Haven't seen this Q.

This is actually a good idea. I also don't like that the CEO barely has a significant holding (might it be related?)

Anyway, I will try to figure it out in the following weeks and get back to you here.

Subject	Timeline
Entry	05/12/2021 05:56 PM
Member	VC2020

Thanks for the idea, dadande. My q is along the lines of moneytr's, re: timing. I agree that this looks very compelling if we just take the undiscounted values of the water rights and Sky Ranch. However, Sky Ranch alone will take 10 years to complete, and the water rights cash flows need to be discounted on timelines that are many decades into the future.

I'm curious - how have you thought about this? I created a very crude model that just discounts water rights / sky ranch cash flows at 10% over the next few decades and am not getting to a share price that's significantly higher than where we are now (perhaps anywhere from \$14-17 per share depending on assumptions, plus upside on the 'side gigs' the company has going). So to me this just says one can get a 10-15% return on capital for a fairly long period of time, which perhaps in today's interest rate / valuation environment is quite satisfactory. Is that how you're thinking about the long-term investment?